

Chapter 4

Manager as a Decision Maker

Decision

- A choice from two or more alternative is decision.

The Decision Making Process

- Manager at all levels make decisions. Top level make decisions about organization's goal, middle and lower level managers make decisions about production, product quality, pay raises etc.
- Decision making is not simple; it is refer to a process by which individuals a particular course of action among several alternatives to produce desired result.

The Decision Making Process

- There are 8 steps in decision making process.

1. Identifying a Problem

- Every decision starts with problem, the difference between existing and desired condition.
- For example Amanda is sales manager whose reps need new laptops because old one is outdated for doing their job.
- Now we have a problem, difference between sales reps current computers and their desired one computer, but never confuse problem with symptoms (علامات) of problem i.e. decline in sale is not a problem, it is a symptom, and problem can be poor quality of product or poor service or high price.

2. Identifying Decision Criteria (Standard of selecting something)

- Once manager has identified a problem, he/she must identify the decision criteria (معیار) for solving the problem.
- Suppose Amanda decide after careful consideration, that memory, storage, display quality, warranty, battery life are relevant criteria in her decision.

3. Allocating Weight of the Criteria

- Decision maker must weight (وزن) the item in order to give them correct priority in decision. Simple way is to give weight “10” to most important and rest low. i.e.

Memory and Storage	10
Battery	8
Warranty	6
Display Quality	4

4. Developing Alternatives

- The fourth step is that decision maker make a list of variables that could resolve the problem. At this point alternative are only listed, not evaluated. For example alternatives companies who sell computers:

(-) Toshiba	(-) Sony
(-) Dell	(-) Lenovo
(-) HP	(-) LG
(-) Apple	(-) Acer

5. Analysis Alternatives

- Decision maker must evaluate each alternative. Give marks to each item according to their quality from different companies.
- Rank each item according to their marks or score.

6. Selecting an Alternatives

- Sixth step in decision making process is choosing the best alternatives on the basis of score or marks.

7. Implementing the Alternatives

- In the seventh step, managers put the decision into action and fulfill the commitment to it.

8. Evaluating Decision Effectiveness

- Last step involves evaluating the outcomes or result of the decision to see if the problem was resolved, if evaluation show problem still exist, then manager need to assess what went wrong? Was the problem incorrectly defined? Was error in choosing the alternatives?

Types Decisions

Organizational and Personal Decisions:

- Decisions taken by managers in the ordinary course of business in their capacity as managers are organizational decisions. For example: decisions regarding introducing a new incentive system, transferring an employee, reallocation or redeployment of employees etc.
- On the other hand, managers do take some decisions which are purely personal in nature. However, their impact may affect the organization also. For example: the manager's decision to quit the organization, though personal in nature, may create some problems for the organization

Operational and Strategic Decisions

- Operational or tactical decisions relate to the present issues or problems. The main purpose is to achieve high degree of efficiency. Better working conditions, effective supervision, prudent use of existing resources, better maintenance of the equipment, etc.
- While, expanding the scale of operations, entering new markets, changing the product mix, shifting the manufacturing facility, striking alliances with other companies, etc. are strategic in nature. Usually, routine decisions are taken by managers at the lower levels, while strategic decisions are taken by top level managers.

Programmed and Non-Programmed Decisions:

- Programmed decisions are repetitive in nature. Such decisions deal with simple, common, frequently occurring problems that have established procedures. For example: making purchase orders, sanctioning of different types of leave, increments in salary, etc.
- Non-programmed decisions are not routine in nature. They are related to exceptional situations for which there are no established procedures.